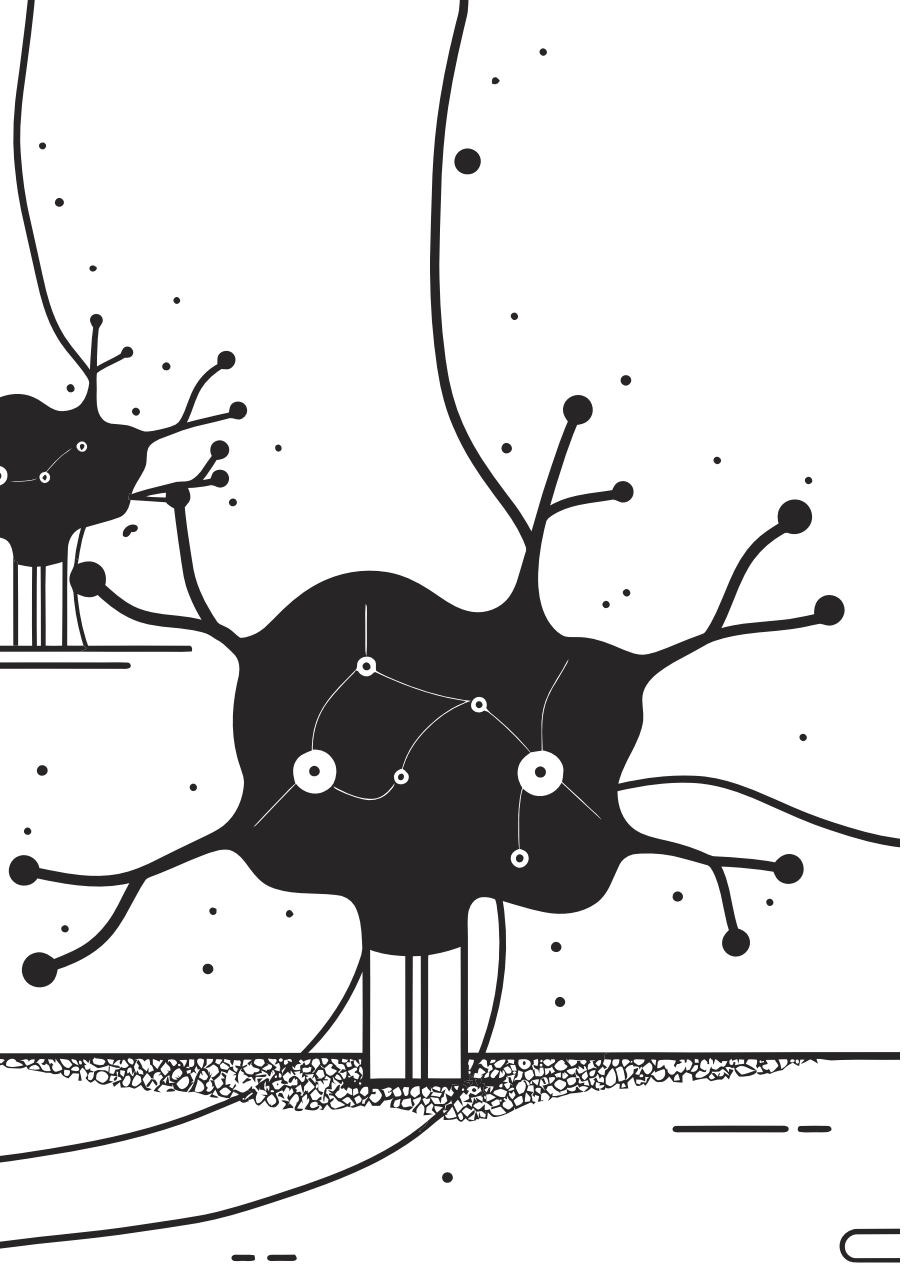


Ethics, PDPL Mapping & DeFi

Bahrain's Personal Data Protection Law meets decentralised finance — where compliance gets complicated.

Who controls the data?

The "data controller" decides why and how personal data is processed

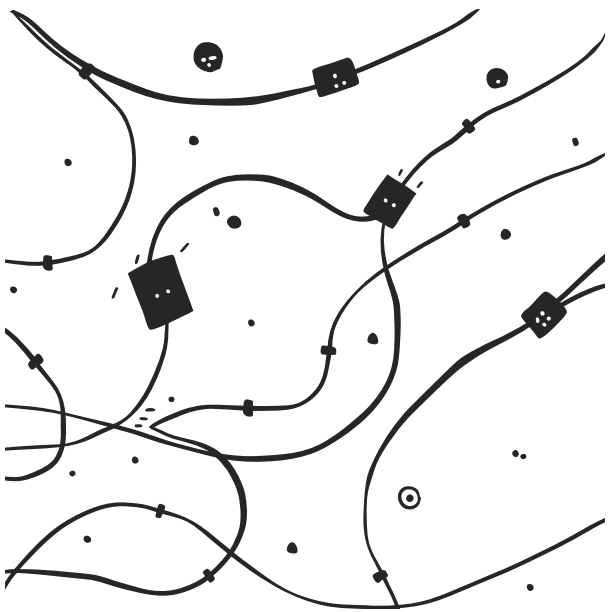
The DeFi gap

Permissionless protocols may have no identifiable controller

Ethics first

Document unresolved tensions — never hide them

The Data Controller Problem in DeFi



Traditional model

A company decides why and how personal data is processed → PDPL duties fall on that company.

DeFi model

No company runs the protocol. Smart contracts execute automatically. No single entity decides.

> ⚠ This is the hard compliance gap: PDPL obligations exist, but no clear controller can be identified.

A compliance officer's duty: **advise honestly, document the tension, and escalate** — never sign off on an unresolved risk.

Mapping a Product to PDPL

Four articles every compliance officer must check:

1

Article 12 — Cross-border transfer

Does personal data leave Bahrain? If so, transfer rules apply.

2

Article 22 — Automated decisions

Is a decision made solely by an algorithm, with no human review?

3

Article 23 — Rectification & erasure

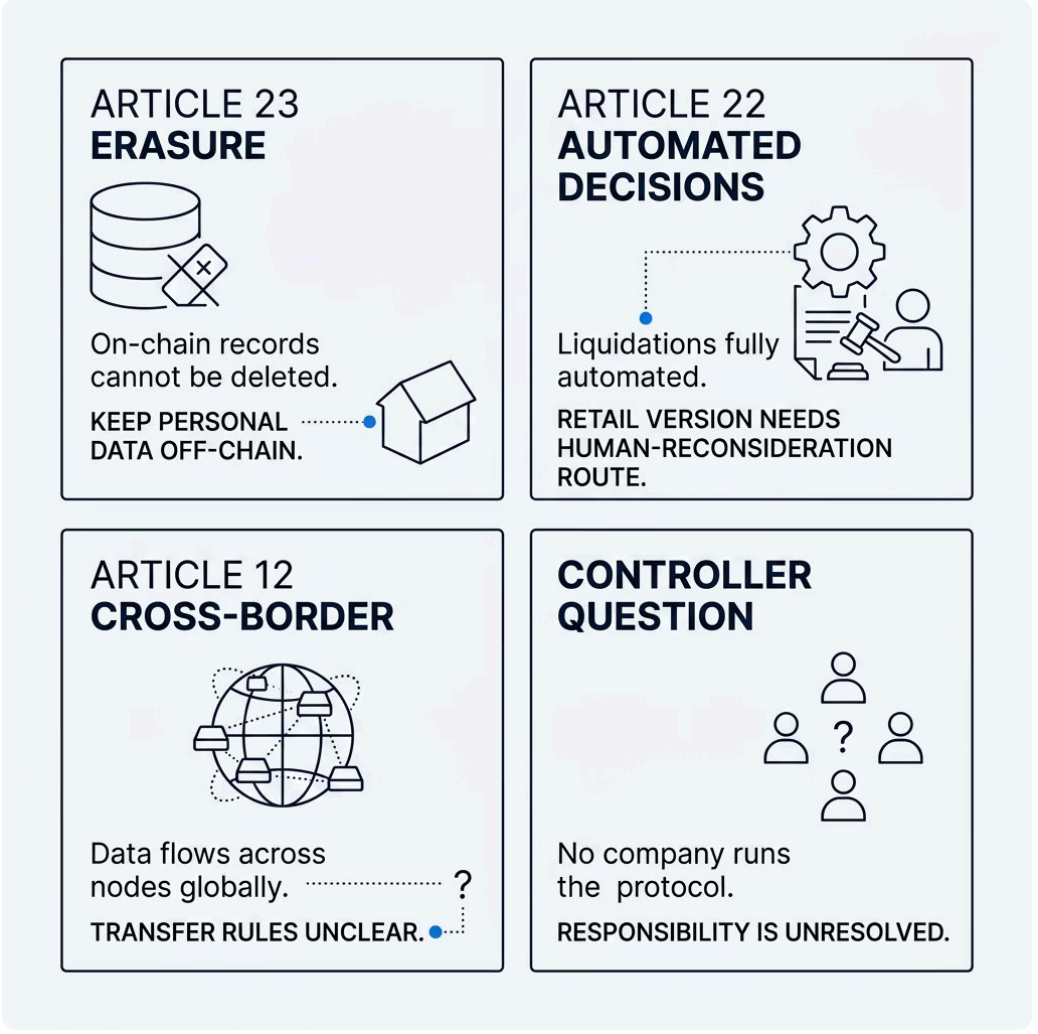
Can the data subject correct or delete their personal data?

4

Article 24 — Valid consent

Is consent freely given, specific, and properly recorded?

Worked Example: Aave (DeFi Lending Protocol)



Key findings

- **Art. 23 — Erasure:** On-chain records cannot be deleted. Solution: keep personal data off-chain.
- **Art. 22 — Automated decisions:** Liquidations are fully automated. A retail product needs a human-reconsideration route.
- **Controller question:** No company runs Aave. Document this as **unresolved** — the honest reading protects the data subject.